

The first rule of personal finance is to pay yourself first. Make savings an expense category, with a set amount that you pay to yourself monthly when you pay your bills. Don't plan your savings around what's left over when you've paid everything else. Chances are there won't be anything there.

How Much Money Do You Have Available?

To curtail overspending, you need to set realistic spending goals in each category. First, figure out how much money you have available, and where that money goes now. To get started, collect as many of your pay stubs, bills, credit card statements, and receipts as possible for the last three months and complete the income section of your budget. Calculate your average monthly gross pay (before taxes) by adding the gross pay from a month's worth of pay stubs. If your pay varies substantially from one pay period to the next, try to calculate a realistic monthly average, but don't include uncertain amounts such as year-end bonuses or overtime until you're actually paid for them. Estimate monthly averages for the other income categories as well.

Where Is Your Money Going?

In addition to bills, credit card statements, and receipts, your checkbook register will be important in completing the expense portion of the worksheet. Go through these documents and jot down your expenditures in each of the categories you've set up, then total the numbers in each category and transfer them to the worksheet. For the items you identified that aren't paid every month, calculate the yearly cost and divide it by twelve to get the monthly cost. Each month, set aside the monthly amount in a savings account so it's available when the bill becomes due.

To really get a fix on where your money goes, you'll need to keep track of your cash expenditures, too. Save receipts to record later, or jot the expenditure down on a notepad as you use cash. The more often you use an automated teller machine (ATM), the more important it is to write down your cash expenditures, because this is where many people lose control of where their money goes. Tracking your cash expenditures is one of the